

Company Name: LULU
Market Price: \$175
Last updated: Oct 2025

(1)RADAR

1. How did you become aware of this company (gurus, news, three circles, search)?

Three circles, search

2. List any Gurus currently invested in the company (Event)

Michael Burry just added 1.29% of his portfolio in 2025

First tranche in Q2 avg price \$275

Second tranche (2x bigger than first) in Q3 avg price \$200

Prem Watsa added 0.22% of his portfolio in Q3 of 2025 (avg price \$200)

Stephen Mandel back in 2016-17

3. List at Gurus who acquired more than 4% of their portfolio at current or higher stock price (Meaning)

[Answer]

4. Is there an Event right now?

Yes, there is an event. There are two main concerns regarding Lulu right now:

- Uncertainty around tariffs and trade wars
 - Larger tariffs in general
 - Removal of the de minimis exemption
- Growing competition in the athleisure space

5. If there is an Event right now, what specifically put this business on sale?

The event is caused by slowed demand (lower growth than the past, slowing comparables, and lowered guidance) in North America and are struggling with the tariffs. However, this slowed demand is seen across the whole industry.

(2)SIMPLE AND PREDICTABLE

1. In a simple statement, describe how this business makes money and why it's predictable (Meaning)

Lululemon designs, distributes, and markets athletic apparel, footwear, and accessories for women, men, and girls ("athleisure"). They have found success marketing a lifestyle rather than a product, and sell products through their own network of stores, as well as online channels. They have proven to be predictable by a strong growth history driven by their competitive advantage in their proprietary fabrics.

From their 10K: in 2024 their revenue came from 3 segments:

- Americas: 75%
- China Mainland: 13%
 - First china mainland store in 2014
 - "We believe China Mainland revenue growth will drive an increase in our overall international net revenue. We plan to continue to invest in China Mainland and expect that the majority of our company-operated store openings in 2025 will be in this market"
-
- Rest of world: 12%
 - "We have experienced significant growth in net revenue in APAC & EMEA and intend to continue to invest in these markets to build brand awareness. We plan to open new retail locations where we identify growth opportunities"

"Our physical retail locations remain a key part of our growth strategy and we view them as a valuable tool in helping us build our brand and product line as well as enabling our omni-channel capabilities" 10K 'Our Markets and Segments' section

Lulu does not own any manufacturing facilities rather they source from approximately 52 vendors (Tier 1 b/c they made the final product):

- 40% from Vietnam
- 17% from Cambodia
- 11% from Sri Lanka
- 11% Indonesia
- 7% from Bangladesh

Lulu works with approximately 67 suppliers of raw materials (Tier 2 factories):

- 38% from Taiwan
- 28% from China mainland
- 11% from South Korea

2. Explain the industry this business is in, is it simple for you? (Meaning)

LULU competes in the athleisure and performance apparel market. It is simple and I am a consumer in this industry.

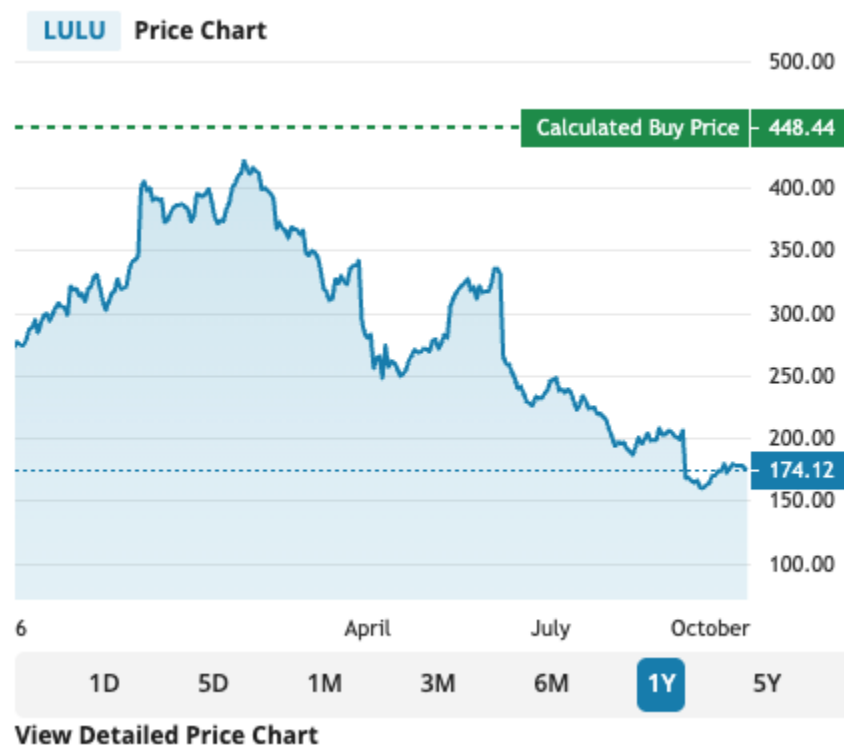
3. If this company is cyclical, briefly describe the cycle (Meaning)

Athleisure belongs in the larger 'consumer discretionary' sector, which technically is cyclical. However, athleisure has shown strong secular growth which has cushioned, to some extent, the cyclical nature of their larger market over the past decade.

Additionally, Lulu has some seasonality to it. Typically, sales are weighed more heavily in the fourth quarter due to the holiday season. In 2024, 42% of their full year operating profit came in the fourth quarter.

4. Give a brief description of what specific problem this business solves for the customer (Meaning)

Lululemon promotes not a product but a lifestyle. They are a leading brand for people who want to live a healthy and active lifestyle.



As of Oct 6th, 2025

(3)DOMINANT MARKET POSITION

1. Brief description of this company's dominance (Meaning)

Lulu has dominated the luxury athletic wear market, becoming one of (if not the biggest) player in this space. There are bigger competitors who serve the larger sportswear market overall, but Lulu has dominated their niche by focusing on high-quality & technically advanced products, a strong brand image around active lifestyles, and community & social impact.

From 10K:

Company-operated stores:

	Feb 2025	Feb 2024	Feb 2023
Americas	462	438	419
China Mainland	151	127	99
APAC	107	98	91
EMEA	47	48	46
TOTAL	767	711	655

2. R1 Moat score (Moat)

100

3. What is the company's niche within their industry? (meaning)

LULU resides in the global sportswear industry (or consumer cyclicals) but their niche is 'athleisure', specifically premium athleisure for men & women

4. Briefly describe how they became dominant? Did they start small and build up?

(Meaning)

They became dominant by focusing on bringing upscale, high quality women's leggings to the market, but they have since diversified their offerings. By focusing on customer-driven product designs, they built a cult-like following through strong brand awareness.

From 10K → Lulu believes they stand out and have succeeded due to:

- Ability to introduce new product innovations
- Ability to combine function and fashion
- Connection with customers through in-store, online, and community experiences
- Vertical retail distribution strategy

- Community-based marketing

5. Briefly describe some of the key competitors and how they compare (Meaning)

From the 10K: “Competition in the athletic apparel industry is based primarily on brand image and recognition as well as product quality, innovation, style, distribution and price”

- Lulu stands out because of their premium brand image and technical product innovation

Competitors can be split into two categories:

- Major sportswear brands: Nike, Puma, Under Armour, Adidas
- Trendy Athleisure brands: Vuori (est 2024 revenue \$1B), Alo, Fabletics, Gymshark, Athletica, Aritzia

Lulu differentiates because of their luxury, high-end appeal to both men and women (although still primarily women), in addition to their community and wellness centric model.

Sources:

[Athleisure face off](#) (feb 2025)

[How Vuori is taking market share from Lulu](#) (dec 2024)

(4)LARGE BARRIER TO ENTRY AND MOATS

1. Describe the barriers to entry that prevent competitors from entering the niche

(Moat)

High capital requirements, brand power, and complex supply chain development.

2. Describe their Moat and explain why this moat is intrinsic to this company

(secrets, brand, patents, etc)

Lulu has a brand moat and a secrets moat - both are intrinsic to the company. Lulu is the household name in premium athletic wear products (i.e. 'the OG'), and they are known for their proprietary fabric blends, elevating their quality over their competitors.

3. Has the Moat changed over time, if so, how?

It does not appear that the brand or secrets moat has changed. Although, their marketing and business strategies have shifted over time.

4. Why can't the competition overtake them, what is the company's edge? (Moat)

Lulu has become the 'rolls-royce' of athleisure (specifically yoga pants), due to their quality, proprietary fabrics, and commitment to customer feedback. This, combined with their cult-like brand loyalty protects them against competition.

Additionally, Lulu's vertical retail strategy gives them a competitive edge over their peers. Their 10K states that their vertical retail strategy allows them to "collect feedback and incorporate unique performance and fashion needs into our products. In this way, we believe we are better positioned to address the needs of our guests, helping us advance our product lines and differentiate us from competitors"

5. Does the future of the Moat look good, has it been attacked in the past, how did it perform?

Their 'secrets' moat is under attack right now by up and coming brands like Vuori and Alo, as well as 'dupe' brands. (The secrets moat being their proprietary fabrics which blend both comfort, style, and athletic appeal)

Their brand moat is also under attack as Vuori and Alo have both adopted the community-and-wellness culture of Lulu.

That being said, these movements have not drastically affected Lulu's sales AND they are only occurring in the US at the moment.

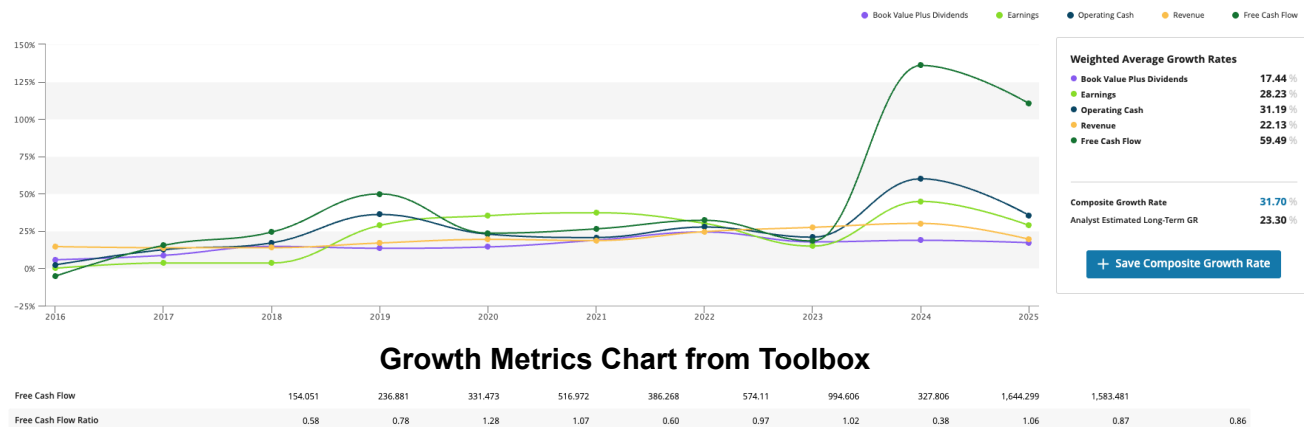
6. Does the company appear to be anti-fragile, will it survive an event then grow after competition is gone? (Moat)

While luxury athletic wear is a discretionary product, Lulu appears to be anti-fragile, proven by their meteoric rise during and after Covid. Even during the 2008 crash, their revenues and income skyrocketed.

(5)FREE CASH FLOW GENERATIVE

1. What is their FCF ratio for the last 10yrs? (Moat) Ratio=FCF/Earnings

0.86 (compared to 1.00 for Nike, 0.98 for Gap) A little low, but they have \$2B in cash, protecting them from competition. They've bought back 12% of their shares over the past decade (not a lot but not a little either). They primarily invest their cash back into the business. They've bought back shares the past 2 years around sticker price, but well below the highs of during that period.



FCF Growth and Ratio from Toolbox

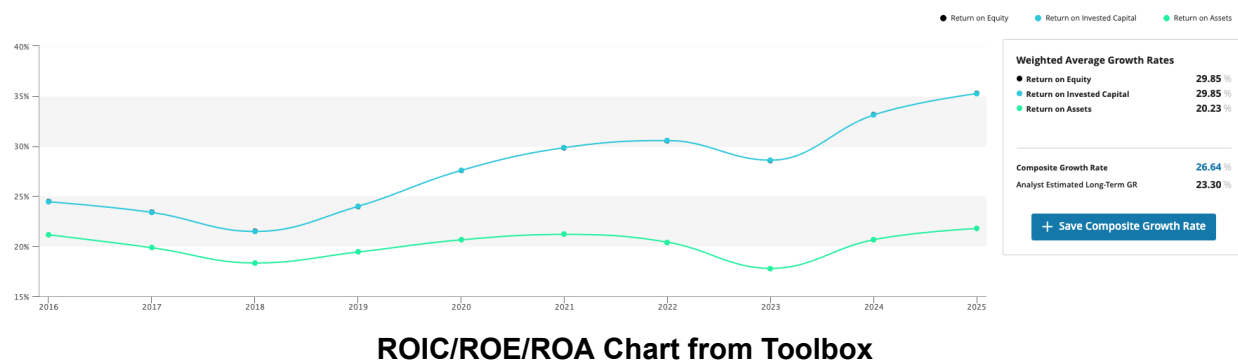
(6)MANAGEMENT IS TALENTED AND HAS INTEGRITY

1. Describe the CEO's history, track record, and goals with this company and previous ones (Management)

Calvin McDonald has been the CEO since Aug, 2018. Before, he was the President of Sephora (2013-2018) and Sears Canada (2011-2013). He's an avid ironman athlete, so Lulu's tenants align with his own. He has a proven track record in retail, and is known for his focus on growth, innovation, and customer connections.

2. Is the CEO talented at allocating capital, what are the ROIC/ROE/ROA figures, R1 Management Score? (Management)

Incredible ROE, ROIC, and ROA numbers. They don't pay a dividend. They buy back stock but not aggressively. They mostly reinvest their cash back into growth & innovation.



3. Explain why we should trust the CEO to behave with integrity, are they the founder or related? (Management)

In 2019, McDonald released the 'Power of Three' growth plan: double men's, double digital, and quadruple international sales in 5 years - they did it in 3.5 years.

In 2021, they announced their Power of Three x2 plan: to double revenue (6.5B --> 12.5B) by the end of 2026. They are on track. No red flags on integrity, candor could be a little better.

4. Describe the CEO's stock ownership position within the company (Management)

Calvin holds roughly 110,000 shares of Lulu, estimated around ~\$21M in value. His net worth is estimated around ~\$40M, so he has a significant vested interest in the growth of Lululemon. He also holds a lot of Disney shares b/c he's a director there as well.

5. Highlight if management insiders are buying or selling the company's stock (Management)

There's not a whole lot of insider trading, which is a good sign. No significant movements in shares (except for Celeste Burgoyne, President) who sells all her shares every time she vests them, weird.

6. What is the CEO's reputation on websites such as Comparably and Glassdoor? (Management)

Calvin is highly regarded by his employees on Comparably. His rating is 1st among his competitors, and he's in the top 20% among similar sized companies. On Glassdoor he has an 82% approval rating, also very high

(7)ROE/ROIC/ROA & DEBT

1. Explain how the ROE, ROIC, and ROA have trended over the last ten years and why? (Management)

ROE/ROIC and ROA have increased or stayed relatively similar for the past 10 years, with only one year where they dipped below 20% (2016, due to a decrease in net income which was caused primarily by a change in tax law at the time). For the most part, the 'return on' figures have increased due to overall increases in net earnings/FCF as well as overall decrease in shares outstanding over the same period of time.

ROE and ROIC have been the same since the company's inception, indicating that they have never had any debt, great!

2. Are returns being manipulated by debt? (Management)

No they are not as they have no debt to manipulate with

Income tax rate hovered around 30% past couple years

(8)STRONG BALANCE SHEET

1. Has the balance sheet improved or degraded under the current management?

What is the Current Ratio? (Management)

- The equity has 4x in the past decade (15% per year)
- They have \$1.2B in cash with NO debt (that's TTM ending cash position on Cash Flow Statement)
- Current ratio of 2.16 (perplexity says avg of sector is 1-1.5)

When Calvin Mcdonald took over in 2018, the current ratio used to be above 4, but now it hovers around 2. This is due to a dramatic increase in capital lease obligations due to an accounting change in 2019, which categorized capital lease payments due over 12 months as a non-current financial liability. So the decrease in current ratio is in some part simply due to accounting changes.

Total Assets		7,523.439	7,603.292	7,091.941	5,607.038	4,942.478	4,185.215	3,281.354	2,084.711	1,998.483	1,657.541	1,314.077
Total Liabilities		3,136.16	3,279.245	2,859.86	2,458.239	2,202.432	1,626.649	1,329.136	638.736	401.523	297.568	286.595
Total Equity		4,387.279	4,324.047	4,232.081	3,148.799	2,740.046	2,558.566	1,952.218	1,445.975	1,596.96	1,359.973	1,027.482

[10 yrs Balance Sheet from Toolbox]

(9)LIMITED EXPOSURE TO P.E.S.T RISKS

1. Consider the impact on this company from the following macro risks:

[Article here about PEST analysis](#)

Political: Right now there are risks associated with tariffs and trade disputes which could adversely affect the global supply chain of Lulu ([here](#)). Trump tariffs in the countries that are relevant to Lululemon are as follows ([Oct, 2025](#)):

TARIFFS

	% of Lulu's business (relative to Tier)		Oct 2025	Dec 2025	Notes
Tier 1 Factories (final product)	40%	Vietnam	20% reciprocal	same	Directly affected by US tariffs
	17%	Cambodia	19 % reciprocal	same	
	11%	Sri Lanka	20% reciprocal	same	
	11%	Indonesia			
	7%	Bangladesh	20% reciprocal	same	
Tier 2 Factories (raw materials)	38%	Taiwan	20% reciprocal	same	Not affected by US tariffs (see below for explanation)
	28%	China	34% will begin Nov 10th	34%delayed until Nov 10 2026	
	11%	South Korea	15% (exemptions)	same	

Do the US tariffs affect the Tier 2 factories? Perplexity answer below:

How tariffs are applied

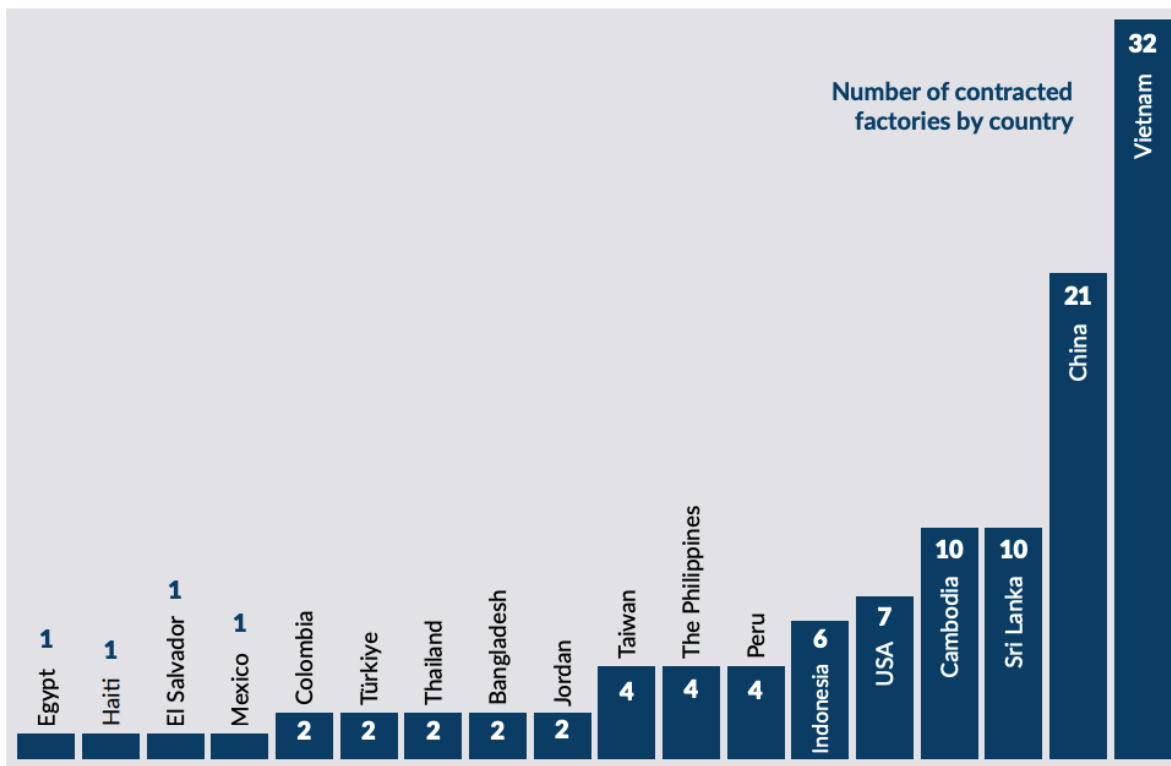
Tariffs are assessed when goods cross the U.S. border and clear customs, based on the product's tariff code (HTS classification), declared value, and country of origin. If Lululemon imports finished garments into the U.S. from its Tier 1 factories (e.g., in Vietnam, China, Bangladesh, etc.), those finished goods are directly subject to any applicable apparel tariffs or country-specific surcharges.

Role of Tier 2 suppliers

Tier 2 fabric mills and raw-material suppliers are usually outside the U.S. and ship to Tier 1 factories abroad, so their shipments normally never cross the U.S. border and do not directly incur U.S. tariffs at that stage. However, tariffs on those countries' exports of yarns, fabrics, or

other intermediates can still raise Lululemon's cost base indirectly by making inputs more expensive for the Tier 1 factories, even if the tariff is levied in another importing market or passed through in supplier pricing.

In a [2024 accreditation report](#), Lululemon disclosed that Vietnam has the highest number of factories that they work with:



Lululemon releases a quarterly comprehensive suppliers list [here](#), where they split up their suppliers in two categories:

- Tier 1: factories who manufacture the final product
- Tier 2: Factories who manufacture raw materials and make intermediate products (fabrics, adhesives, etc) which are supplied to Tier 1 factories

Rebuttal: [According to Calvin McDonald](#), less than 5% of Lulu's products are produced and imported from Mexico, Canada, and mainland China, who are suffering the largest of the new tariffs.

Additionally, in August the Trump administration [ended the de minimus exemption](#), which allowed packages under \$800 in value to enter the US without paying import tax. Now that the de minimus is ended, that means further taxes will be levied on Lulu's goods. This primarily impacts Lulu's US online business, as online orders are fulfilled through various distribution centers. Lulu has 8 distribution centers total, 4 of which are located in Canada. Therefore online

orders to US are primarily fulfilled through distribution centers NOT in the US and are therefore liable to the de minimis taxes. Roughly 2/3rds of all US online orders are fulfilled through Canadian distribution centers.

- Management said to expect a \$240M hit from tariffs and the ending of the de minimis exemption for fiscal year 2025
 - Roughly 80% of that is due to the de minimis
- [\\$320M effect on operating margin](#)

Distribution Centers:

- Owned (1) , Leased (7), TOTAL (8)
- 4 in Canada
- 3 in US
- 1 in Australia

Rebuttal: Calvin McDonald stated in the Sept earnings call that they will combat the ending of the de minimis and general tariffs by:

- Expense management
- Negotiating lower vendor rates
- Supply chain optimization
- Efficient inventory placement (maybe building more US-based fulfillment centers?)
- Strategic pricing actions

Closing remarks about political risks: Lulu has proven to have pricing power in the past, and due to their relatively diversified supply chain they have decreased their risk from tariffs and trade wars.

Economic: There is economic risk involving an overall slow down of consumer purchasing due to macroeconomic factors.

Rebuttal: The economy moves in cycles and the consumer will eventually feel wealthy again. Plus, Lulu targets the higher end consumer anyway, who is naturally less price-inclined.

Social: Lulu has shown support of various political issues from abortion, to black lives matter ([here](#)), which could adversely politicize its customer base, resulting in decreased sales.

[Founder Chip Wilson is against DEI](#)

Overall, Lulu's brand and accompanying sales will continue to perform if the wellness and fitness trend continues across the country and the globe. Additionally, Lulu must stay in the good graces of Gen X, Gen Z, and millennials, who are the primary customers buying their clothing.

Technology:

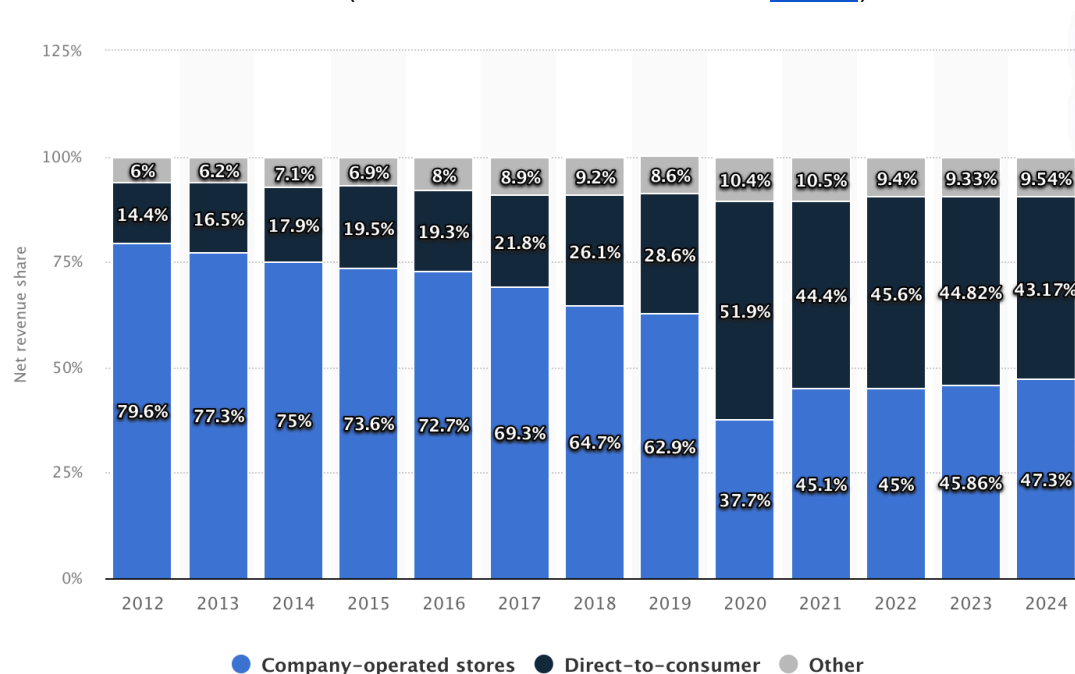
- Lulu must continue to expand its ecommerce business, because that is a large part of modern consumerism
- Lulu must continue to push the envelope on new fabrics and knitting designs in order to keep innovating and quality products above their competitors
- Lulu must also adopt automation to improve operational costs wherever it can

According to article [here](#), premium athleisure brands must offer:

- Advanced moisture wicking fabrics
- Compression technology
- Ergonomic designs
- UV protective

In 2022, Nike began their Nike Forward technology, a new fabric aimed to reduce carbon footprint

Rebuttal: Lulu has proven to be a leader in technology and fabric engineering, thus it is not unreasonable to assume they will continue to be. Will have to watch trade journals closely to be sure they do not lose touch on trends. Lulu has dramatically increased their ecommerce segment and has dominated in it (see below. DTC is online sales, [source](#))



2. What can make this company go off the rails? Give a brief argument

Lulu can go off the rails if:

- They don't improve their inventory management to account for the de minimis

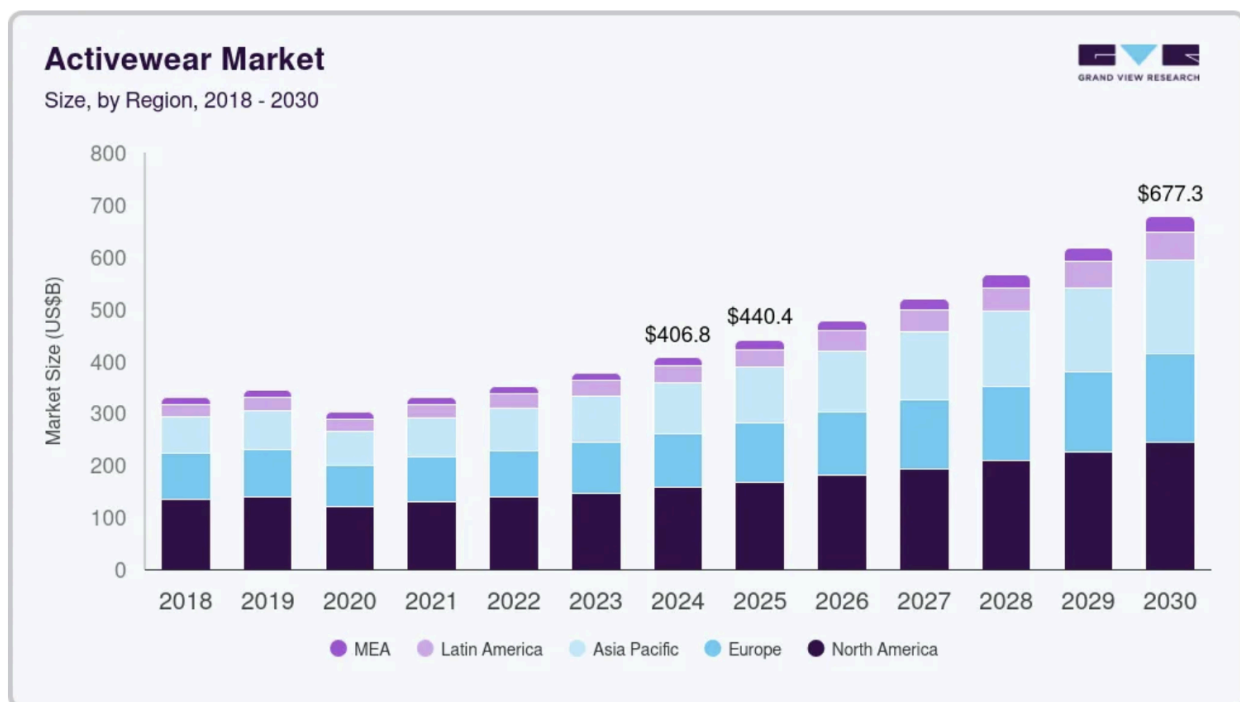
- They don't continue their international expansion to compensate for the domestic slowdown
- They don't improve operational efficiency given their growth slowdown
- They don't continue being a leader in women's yoga pants
- They don't continue improving their fabrics and offering quality product to incite a turnaround in domestic sales
- They lose their pricing power

(10) VALUATION

1. Explain why this industry will be going strong in 10 yrs? (Meaning)

Global activewear market ([source](#)) is estimated at \$406.8B in 2024 and is projected to reach \$677.6B in 2030 (CAGR of 9%)

- North America is 38.5% of this in 2024 (\$156.6B)
- U.S CAGR is expected at 7.6% until 2030 (\$226B in U.S by 2030)
- Asia Pacific is the fastest growing global segment



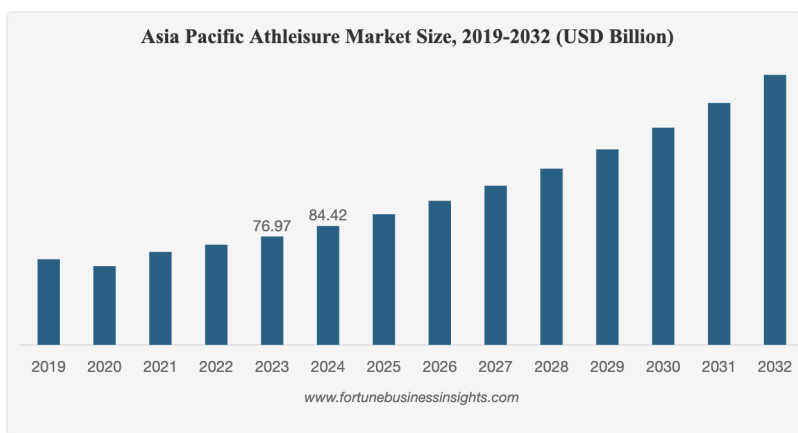
Different article states ([source](#)):

- Current global athleisure market at \$425.1B
- global athleisure market will grow to \$941.6B in 2034
- Ten year CAGR of 9.2%

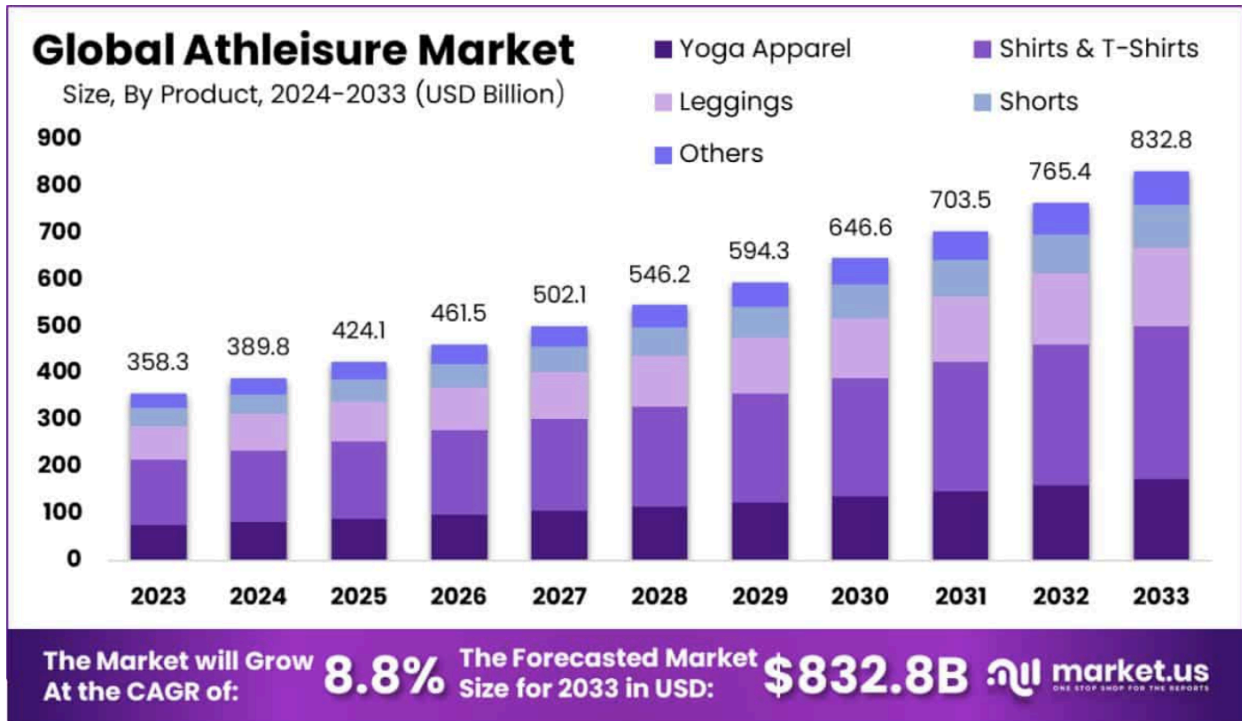
- North America the biggest
 - Estimated 5-yr CAGR of 8.7%
- Asia pacific the fastest growing
 - South Korea specifically, at 11% CAGR expected
- T shirts most popular at 38.5% of the market
- Yoga apparel is fastest growing athleisure type

Different articles states ([source](#)):

- 2024 \$338B
- 2032 projected \$716B
- 9.82% projected 10 yr CAGR
- Asia Pacific dominates the market

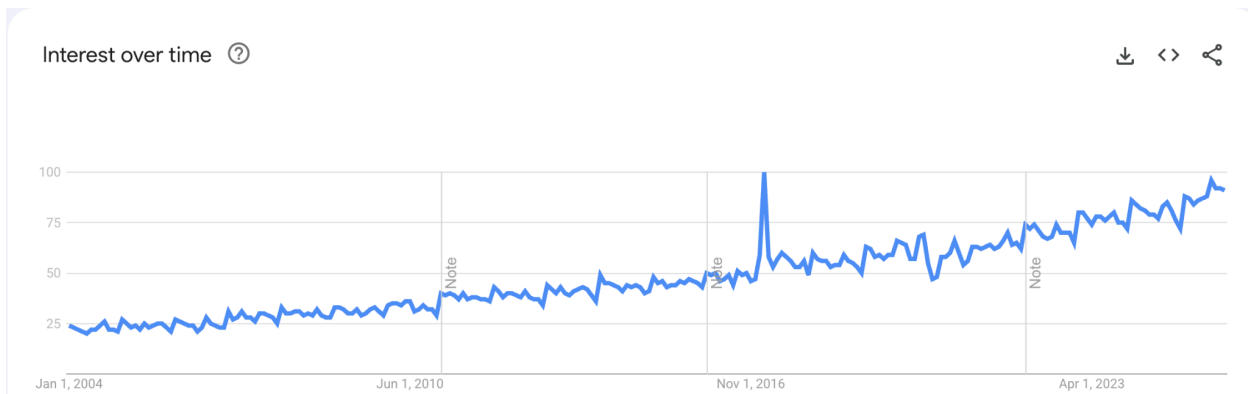


The industry growth, split up by product category can be seen below ([source](#)):



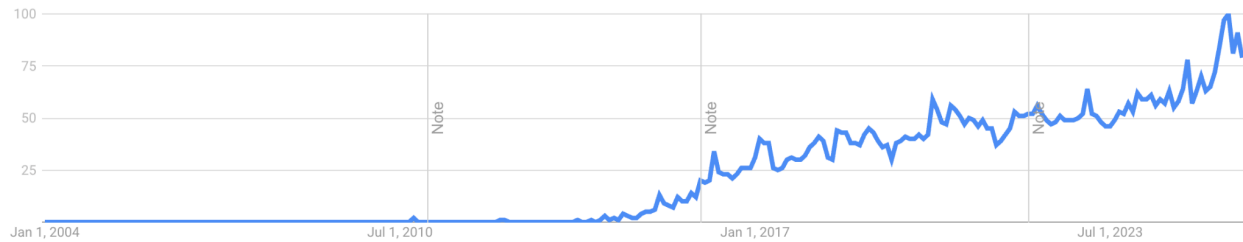
Additionally, the activewear market is riding the health and wellness trend, which has been increasing long-term

Google keyword: wellness



Google keyword: athleisure

Interest over time ?



Overall, athleisure is benefitting from:

- Growth in remote work
- Growth in wellness culture
- Innovations in fabric technology
- Influencer culture

Overall, athleisure is facing headwinds:

- Tariffs
- Growing number of cheap and counterfeit products

Trends to look into:

- Growth in eco-friendly materials
- More advanced tech in fabrics and/or manufacturing

Article [here](#) states that most people still prefer comfort and fit over price

2. Explain why this company will be going strong in 10 yrs? (Meaning, should be able to answer this by this point)

Lulu is poised to be going strong in 10 years because:

- Strong balance sheet
 - Poised to buyback shares as a growth strategy
- They are shielded by competitors due to their moats (secrets, brand)
- They are the clear leader in athleisure
- They are riding strong cultural trends
- They are uniquely positioned to expand internationally to their target customer
- Growing online presence
- Owner operated stores allows them to quickly adapt to changing consumer demands

Calvin McDonald's Power of Three growth plan:

1. **Product Innovation:** expanding technical appeal beyond yoga into categories like men's wear, golf, and footwear

2. **Omni-guest experience:** deepening digital integration to double e-commerce revenue and connect online and store experiences
3. **Market expansion:** quadrupling international revenues, especially across APAC and EMEA

3. **What adjustments, if any, did you make to the valuation based on backtesting results (Valuation)?**

No major adjustments needed

4. **What are the three buy prices and what are the assumptions for each metric?**

[Answer]

MOS: \$149.88

Growth Rate: 13%

EPS (TTM or other?): \$13.74 (average of past 3 years, including TTM)

Future PE (double GR, why or why not?): 30, double. They've had PE ratios higher

Future Value: \$1,212.68

MARR: 15%

PBT: \$182.23

Growth Rate: 13%

FCF Ratio (did you use toolbox default, why or why not?): 0.92, excluded 2016, 2018, and 2021

FCF per share (did you use toolbox default, why or why not?): \$12.64, I like it b/c of my FCF ratio exclusions plus my EPS 3 yr average

Payback time in years: 8.13 years

Ten-Cap: \$177.32

Cash from Operations: \$1,860.99

CapEx: -\$732.59

CapEx% for Maintenance: Answer 70%, could not find maintenance in 10K

Maintenance CapEx: -\$512.81

Tax Provision: \$742.52

Owner Earnings: \$2,090.70

Shares Outstanding: 117.91

Owner Earnings Per Share: \$177.32

MOS & PBT Valuation Table w/ Various Inputs:

	13% FGR		15% FGR	
	\$13.74 EPS (3 yr avg)	\$14.38 EPS (TTM)	\$13.74 EPS (3 yr avg)	\$14.38 EPS (TTM)
MOS	\$149.88	\$156.86	\$206.10	\$215.70
PBT	\$182.23	\$190.71	\$199.55	\$208.84
10 Cap	\$177.32	\$177.32	\$177.32	\$177.32

10 Cap Valuation Table w/ Various Inputs:

	50% Maintenance	70% Maintenance
10 Cap	\$189.75	\$177.32

Overall, Lulu's buy price is somewhere between \$150 - \$215

CONCLUSION

1. Explain how this business matches our personal and business values

[Answer]

2. Explain why we should be proud to own this business

[Answer]

3. Summarize 'why/why not' this company should be considered as an addition to our portfolio

[Answer]

Understandable?: [Answer]

Moat Strength Good?: [Answer]

Growth Potential good?: [Answer]

Management good?: [Answer]

Valuation good?: [Answer]

Anti-Fragile?: [Answer]

Add to Watchlist?: [Answer]

References or Additional Notes: